

Road End Points and City Sizes

Summary in brief

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https://doi.org/10.1162/rest_a_01368 Bruno Barsanetti, FGV EPGE Brazilian School of Economics and Finance.

The question

Transportation infrastructure is not built all at once. It advances, and while it advances some towns sit at the end of the line. Does that temporary status leave a permanent mark on how large a city becomes?

The argument

- The paper studies how the *gradual* construction of transport infrastructure shapes where economic activity ends up.
- A model predicts that municipalities serving as railroad end points for longer periods become persistently larger.
- The timing of an infrastructure's opening — not merely its existence — is what drives its persistent effects.

Setting and evidence

- Brazilian railroad towns.
- Headline estimate: each additional year a town spent as a railroad end point is associated with a 2010 population **0.112 log points larger**.
- Historical evidence and instrumental-variable estimates support the causal mechanism proposed in the model.

Why it matters

A transitory advantage — being the terminus while the line was still being extended — becomes locked into the urban hierarchy decades later. Path dependence in city size arises from the construction schedule itself.

Author's keywords and JEL

Transportation infrastructure; railroads; city sizes. JEL: R12, R40, O18.

Summary prepared for personal reference. Drawn from the abstract and metadata of the working-paper version (SSRN 3723659); MIT Press blocks automated access to the published article, so section-level detail is not reflected here.